



By Sonu Ilyas Mughal

MGT503 Important Concepts

Management has been defined by several theorists in their own way. Henri Fayol defined management as, “Management is to forecast, to plan, to organize, to command, to coordinate and control activities of others.” In simple terms, management is a means of organizing and delegating the work that needs to be done among people who can do it, and then ensuring that said work is done diligently and timely.

Fayol's 14 Principles of Management

Fayol's principles are listed below:

1. **Division of Work** – When employees are specialized, output can increase because they become increasingly skilled and efficient.
2. **Authority** – Managers must have the authority to give orders, but they must also keep in mind that with authority comes responsibility.



03063548328



3. **Discipline** – Discipline must be upheld in organizations, but methods for doing so can vary.
4. **Unity of Command** – Employees should have only one direct supervisor.
5. **Unity of Direction** – Teams with the same objective should be working under the direction of one manager, using one plan. This will ensure that action is properly coordinated.
6. **Subordination of Individual Interests to the General Interest** – The interests of one employee should not be allowed to become more important than those of the group. This includes managers.
7. **Remuneration** – Employee satisfaction depends on fair remuneration for everyone. This includes financial and non-financial compensation.
8. **Centralization** – This principle refers to how close employees are to the decision-making process. It is important to aim for an appropriate balance.
9. **Scalar Chain** – Employees should be aware of where they stand in the organization's hierarchy, or chain of command.
10. **Order** – The workplace facilities must be clean, tidy and safe for employees. Everything should have its place.
11. **Equity** – Managers should be fair to staff at all times, both maintaining discipline as necessary and acting with kindness where appropriate.
12. **Stability of Tenure of Personnel** – Managers should strive to minimize employee turnover. Personnel planning should be a priority.
13. **Initiative** – Employees should be given the necessary level of freedom to create and carry out plans.
14. **Esprit de Corps** – Organizations should strive to promote team spirit and unity.

Fayol's Six Functions of Management

Fayol's six primary functions of management, which go hand in hand with the Principles, are as follows:

1. Forecasting.



03063548328



2. Planning.
3. Organizing.
4. Commanding.
5. Coordinating.
6. Controlling.

Key Points

Henri Fayol's "14 Principles of Management" have been a significant influence on modern management theory. His practical list of principles helped early 20th century managers learn how to organize and interact with their employees in a productive way.

Although the 14 Principles aren't widely used today, they can still offer guidance for today's managers. Many of the principles are now considered to be common sense, but at the time they were revolutionary concepts for organizational management.

Principle No. 1: The Functions of Management

While managers often view their work as task or supervisory in orientation, this view is an illusion.



03063548328



At the most fundamental level, management is a discipline that consists of a set of five general functions: planning, organizing, staffing, leading and controlling. These five functions are part of a body of practices and theories on how to be a successful manager.

Understanding the functions will help managers focus efforts on activities that gain results. Summarizing the five functions of great management (ICPM Management Content):

1. **Planning:** When you think of planning in a management role, think about it as the process of choosing appropriate goals and actions to pursue and then determining what strategies to use, what actions to take, and deciding what resources are needed to achieve the goals.
2. **Organizing:** This process of establishing worker relationships allows workers to work together to achieve their organizational goals.
3. **Leading:** This function involves articulating a vision, energizing employees, inspiring and motivating people using vision, influence, persuasion, and effective communication skills.
4. **Staffing:** Recruiting and selecting employees for positions within the company (within teams and departments).
5. **Controlling:** Evaluate how well you are achieving your goals, improving performance, taking actions. Put processes in place to help you establish standards, so you can measure, compare, and make decisions.



Five Functions of Great Management



Planning

When you think of planning in a management role, think about it as the process of choosing appropriate goals and actions to pursue and then determining what strategies to use, what actions to take, and deciding what resources are needed to achieve the goals.



Organizing

This process of establishing worker relationships allows workers to work together to achieve their organizational goals.



Leading

This function involves articulating a vision, energizing employees, inspiring and motivating people using vision, influence, persuasion, and effective communication skills.



Staffing

Recruiting and selecting employees for positions within the company (within teams and departments).



Controlling

Evaluate how well you are achieving your goals, improving performance, taking actions. Put processes in place to help you establish standards, so you can measure, compare, and make decisions.



03063548328



Principle No. 2: The Types and Roles of Managers within the Organization

Organizational structure is important in driving the business forward and every organization has a structure. No matter the organizationally specific title, organizations contain front-line, middle, and top managers. Above the top management team are a CEO and a board of director levels. To see this structure even more clearly, visualize a pyramid model. The more you move toward the top of the pyramid, the fewer managers you have. All of these management roles have specific tasks and duties. According to Jones and George, “A managerial role is the set of specific tasks that a manager is expected to perform because of the position he or she holds in an organization.” These skills can be gained with a degree in organizational management.

All great managers play important roles in this model. One important thing to remember is from Henry Mintzberg, a management scholar who researched and reduced thousands of tasks performed by managers to 10 roles (ICPM). His model points out that there are three main types of roles all managers play; they are decisional, interpersonal, and informational. In the decisional role, managers can perform in an entrepreneurial manner, as a disturbance handler, resource allocator or negotiator. In an interpersonal role, managers may be figureheads, leaders, and liaisons. In the informational role, they monitor, are disseminators or spokespersons, and they share information.

Principle No. 3: Effective Management of Organizational Resources

“I define resources as people, time, money, and assets — and of course the basic definition of a project is to have a goal and a start and end date — for pretty much any activity we do,” he explains.

Managers participate in operational planning and budget planning processes and, in doing so, actively determine what should be done, in what order it is to be done, and determine what resources are appropriate to be successful in achieving





the plan. Keep in mind that this is not a personality contest. The strategic plan and its specific objectives determine what is important and what may not be as important.

Principle No. 4: Understanding and Applying the Four Dimensions of Emotional Intelligence (EQ) in Maximizing Human Potential

Effective managers understand the context and culture in leadership situations. What helps these managers succeed? It is simple; they understand EQ (the competencies in each dimension of emotional intelligence).

Those four dimensions are: a high self-awareness, social awareness, self-management, and good social skills. All of these competencies are important, and they lead to great connections with people. They lead to stronger and more effective managerial performance. EQ is a very important component for excelling as a supervisor.

The job of the manager is to find a way to turn a team member's skill and talent into a higher level of performance. This idea doesn't suggest manipulation at all. Instead, it is about maximizing human potential, one team member at a time. It is as much art as it is science.

Dr. Diane Hamilton, program chair in the Forbes School of Business & Technology, recently described a candidate seeking a position on the faculty senate with having a high EQ. Dr. Hamilton, a highly skilled professional who possesses knowledge and skill in the area of Meyers Briggs Type Indicator, recognizes the importance of EQ.

“He demonstrates emotional intelligence and exemplifies the high caliber of candidate I would like to represent the FSB,” she said about the candidate.





Principle No. 5: Know the Business

A common axiom in management is that a qualified manager can manage any business. This point is only partially true. It is true that most managers are generalists rather than specialists; however, many very successful managers began their careers in specialist roles. What most successful managers bring to their work in leading crews, departments, divisions, and companies is both a solid knowledge of the business (they are very experienced) and a solid knowledge of the principles of great management. Manager aspirants must first learn the characteristics of the business by doing, working in the trenches, and discovering how the various pieces of the organization work together to become a universal whole, because very good managers discover what is universal in the business and capitalize on it to advance the business and improve performance.

Conclusion

Remember, as a manager, for greater job satisfaction and career success you should align to your organization's vision, mission, strategies, leadership, systems, structure, and cultures. In all you do, treat people fairly and honestly and do your best to follow and embrace your organization's ethics and core values as well as your own. Talk the walk and walk the talk, and remember, people are watching and seeing how you walk it. Give your very best to your teams, organizations, and customers. Be an effective manager to get the performance results for your organization and build trust and positive relationship with your people.

EDUCATION



03063548328



Why Should I Get A PhD In E

Mintzberg's Management Roles

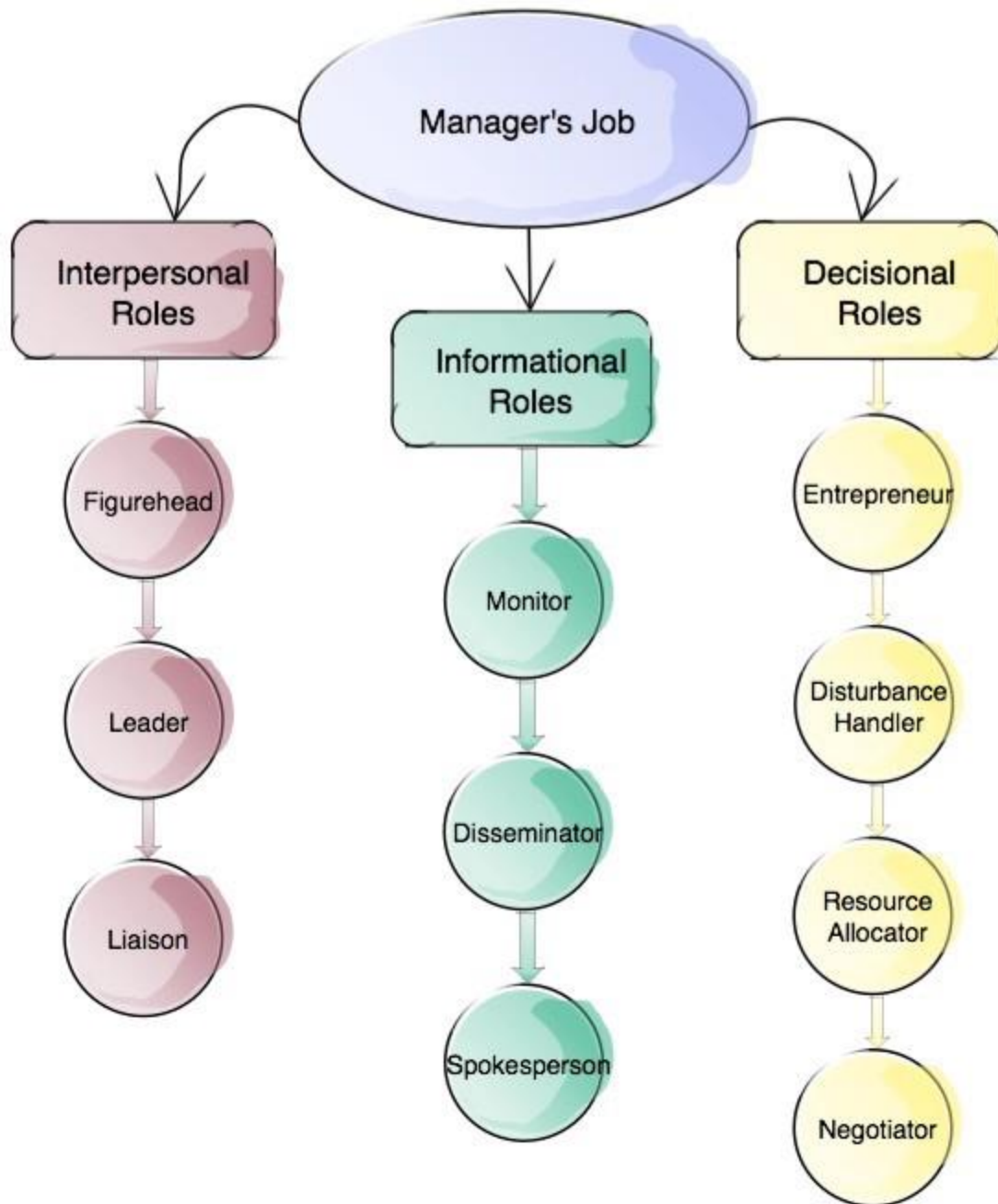
Henry Mintzberg, understood this and organized the roles of management systematically in his 1990 book *Mintzberg on Management: Inside our Strange World of Organizations*. Since then, the PhD from MIT and internationally renowned academic and author on business and management has gone on to stress the importance of practical application of business theory. Mintzberg maintains that management is often more art than science, evident in his very practical and applicable model outlining 10 Management Roles:

Identifying the Roles Managers Play

Let's look at each of the ten managerial roles in greater detail



03063548328



In his book, Mintzberg divides managerial work into three categories: interpersonal roles, informational roles and decisional roles. **The 10 roles are then divided up into three categories, as follows above'**



These roles require developing peer relationships, carrying out negotiations, motivating subordinates, resolving conflicts, establishing information networks, making decisions with little or ambiguous information and allocating resources. In this process, at different times, managers “wear ten hats” divided into the three categories:



03063548328



VU-Tech Soft



03063548328





Interpersonal Category

The managerial roles in this category involve **providing** information and ideas.

1. **Figurehead** – As a manager, you have social, ceremonial and legal responsibilities. You're expected to be a source of inspiration. People look up to you as a person with authority, and as a figurehead.
2. **Leader** – This is where you provide leadership for your team, your department or perhaps your entire organization; and it's where you manage the performance and responsibilities of everyone in the group.
3. **Liaison** – Managers must communicate with internal and external contacts. You need to be able to network effectively on behalf of your organization.



03063548328



Informational Category

The managerial roles in this category involve **processing** information.

4. **Monitor** – In this role, you regularly seek out information related to your organization and industry, looking for relevant changes in the environment. You also monitor your team, in terms of both their productivity, and their well-being.
5. **Disseminator** – This is where you communicate potentially useful information to your colleagues and your team.
6. **Spokesperson** – Managers represent and speak for their organization. In this role, you're responsible for transmitting information about your organization and its goals to the people outside it.



03063548328



Decisional Category

The managerial roles in this category involve **using** information.

7. **Entrepreneur** – As a manager, you create and control change within the organization. This means solving problems, generating new ideas, and implementing them.
8. **Disturbance Handler** – When an organization or team hits an unexpected roadblock, it's the manager who must take charge. You also need to help mediate disputes within it.
9. **Resource Allocator** – You'll also need to determine where organizational resources are best applied. This involves allocating funding, as well as assigning staff and other organizational resources.
10. **Negotiator** – You may be needed to take part in, and direct, important negotiations within your team, department, or organization.





Category	Roles
Interpersonal	Figurehead Leader Liaison
Informational	Monitor Disseminator Spokesperson
Decisional	Entrepreneur Disturbance Handler Resource Allocator Negotiator



03063548328

	FRAMING THE JOB AND SCHEDULING THE WORK	
	Internal	External
Information Plane	Communicating • Monitoring • Nerve Center	
	Controlling • Designing • Delegating • Designating • Distributing • Deeming	• Spokesperson • Nerve Center • Disseminating
People Plane	Leading • Energizing individuals • Developing individuals • Building teams • Strengthening culture	Linking • Networking • Representing • Convincing/Conveying • Transmitting • Buffering
Action Plane	Doing • Managing projects • Handling disturbances	Dealing • Building coalitions • Mobilizing support



03063548328

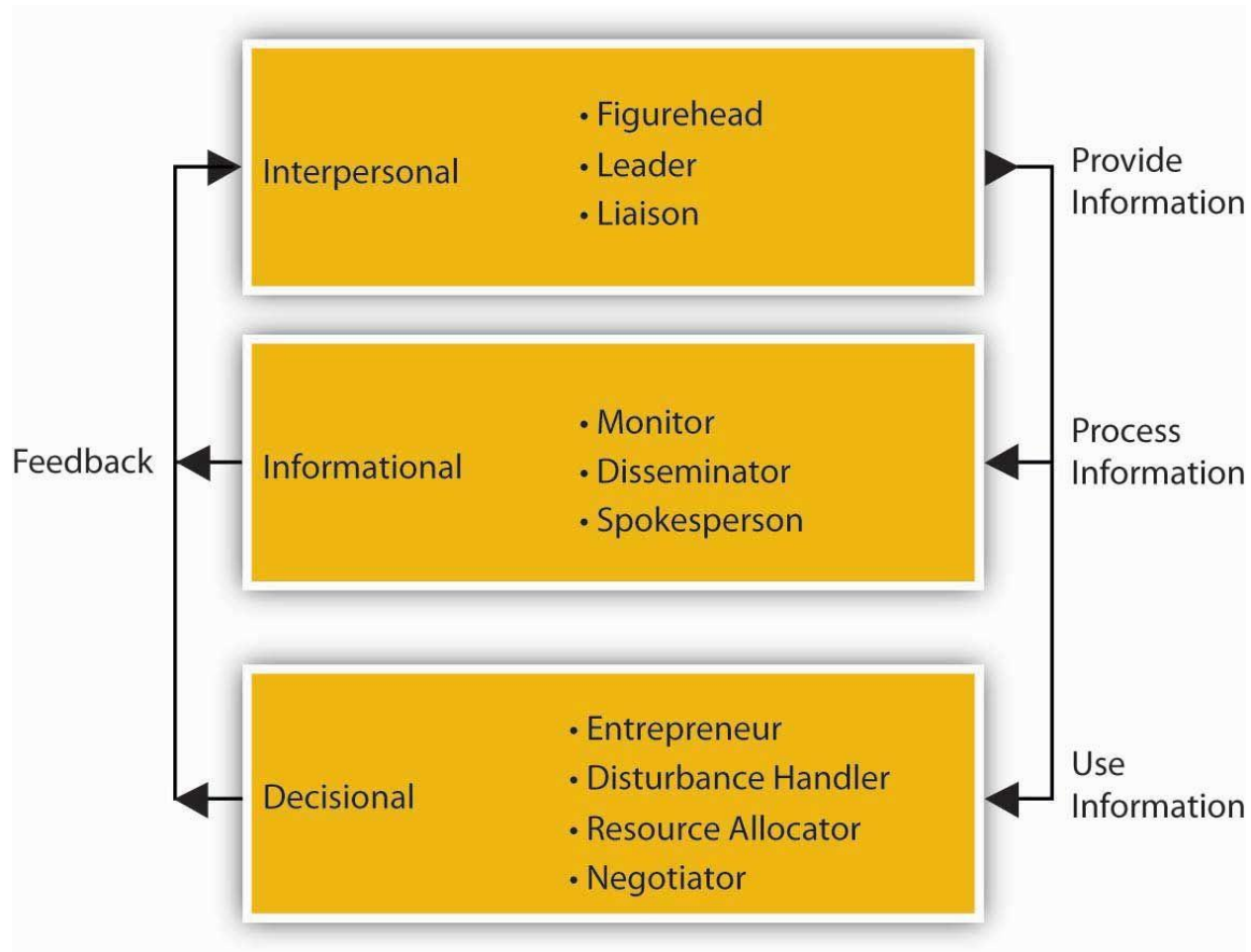


EXHIBIT 1.5

Henry Mintzberg's Managerial Roles

Category	Role	Organizational Function	Example Activities
Informational	Monitor	Responsible for information relevant to understanding the organization's internal and external environment	Handle correspondence and information such as industry, societal, and economic news and competitive information
	Disseminator	Responsible for the synthesis, integration, and forwarding of information to other members of the organization	Forward informational e-mails; share information in meetings, conference calls, webcasts, etc.
	Spokesperson	Transmit information to outsiders about organizational policy, plans, outcomes, etc.	Attend management meetings; maintain networks between the organization and stakeholders
Interpersonal	Figurehead	Symbolic leadership duties involving social and legal matters	Attend ceremonies; greet visitors; organize and attend events with clients, customers, bankers, etc.
	Leader	Motivate, inspire, and guide employees' actions; provide opportunities for training; support appropriate staffing	Build trusting relationships with employees; build effective teams; manage conflict
	Liaison	Build and maintain relationships between the organization and outside entities	Work on external boards; create and maintain social networks (real and virtual) with key stakeholders
Decisional	Entrepreneur	Scan the organizational environment for opportunities; foster creativity and innovation	Participate in strategy and review meetings for new projects or continuous improvement
	Disturbance handler	Manage organizational problems and crises	Participate in strategy and review meetings that involve problems and crises; get involved directly with key issues and people
	Resource allocator	Take responsibility for allocation of all types of organizational resources	Create work schedules; make authorization requests; participate in budgeting activities
	Negotiator	Represent the organization during any significant negotiations	Negotiate with vendors and clients; settle disputes about resource allocation



Interpersonal Roles

1. **The Figurehead:** performs ceremonial duties. Examples: greeting visiting dignitaries, attending an employee's wedding, taking an important customer to lunch.
2. **The Leader:** responsibility for the work of subordinates, motivating and encouraging employees, exercising their formal authority.
3. **The Liaison:** making contacts outside the vertical chain of command including peers in other companies or departments, and government and trade organization representatives.

Informational Roles

4. **The Monitor:** scans the environment for new information to collect.



03063548328



5. The Disseminator: Passing on privileged information directly to subordinates.

6. The Spokesperson: Sharing information with people outside their organization. Examples: a speech to a lobby or suggesting product modifications to suppliers.

Decisional Roles

7. The Entrepreneur: Seeks to improve the unit by initiating projects. Identify new ideas and initiate improvement projects

While you will have managers above you to answer to, you still need to think like an entrepreneur in terms of quickly solving problems, thinking of new ideas that could move your team forward, and more. This is the first role within the decisional category on the list.

To improve here, build on your change management skills, and learn what not to do when implementing change in your organization. You'll also need to work on your problem solving and creativity skills, so that you can come up with new ideas, and implement them successfully.

Justification: Implement innovations; Plan for the future



03063548328



8. The Disturbance Handler: Responds involuntarily to pressures too severe to be ignored. Examples: a looming strike, a major customer gone bankrupt, or a supplier reneging on a contract. Deals with disputes or problems and takes corrective action

The decisional section of the list is being a disturbance handler, because getting back on track after a problem arises is important to short-term and long-term productivity. Whether it is a conflict among team members or a bigger problem outside of the group, your ability to handle disturbances says a lot about your skills as a manager.

In this role,

9. The Resource Allocator: Decides who gets what. Decide where to apply resources

Every project is tackled using resources that are limited in some way or another. As a resource allocator, it is your job to best use what you have available in order to get the job done and meet your defined goals and objectives. Resources can



03063548328



include budget that has been made available for a project, raw materials, employees, and more. This is the third item within the decisional category, yet it is one of the most important things a manager must do.

Justification: Draft and approve of plans, schedules, budgets; Set priorities

To improve as a resource allocator, learn how to **manage a budget** , **cut costs** , and **prioritize** , so that you can make the best use of your resources. You can also use **VRIO Analysis** to learn how to get the best results from the resources available to you.

10. The Negotiator: Defends business interests

Committing organizational resources in “real-time” with the broad information available from their informational roles.

Business is all about negotiation, and that is especially true for managers. The final role on the list, being a negotiator doesn't just mean going outside of the organization to negotiate the terms of a new deal. In fact, most of the important negotiation will take place right within your own team itself. Getting everyone to buy in to the overall goal and vision for a project likely will mean negotiating with individual team members to get them to adopt a role that suits their skills and personal



03063548328



development goals. A good manager will be able to negotiate their way through these challenges and keep the project on track for success

Justification: Participates in and directs negotiations within team, department, and organization

Key Points

- Mintzberg's Management Roles cover ten tasks and responsibilities that a manager may need to perform.
- These are divided up into three categories: interpersonal, informational, and decisional.
- Interpersonal roles include: figurehead, leader and liaison.
- Informational roles include: monitor, disseminator and spokesperson.
- Decisional roles include: entrepreneur, disturbance handler, resource allocator, and negotiator.
- Any given manager may be asked to complete a variety of tasks during a given day depending on what comes up and what problems need to be solved.





Applying the Model for Improvement

As a manager, you may tend to shy away from some of these roles that you don't favor i.e. you may tend to avoid monitoring and handling disturbances. Recognizing your strengths and weaknesses according to these ten roles can help you to develop your skills and knowledge and become a more well rounded manager.

ACTIVITY: Think about how much time you spend on each role. Write down the ten roles on a piece of paper and score yourself from 1–5 on each role with 1 being “Very skilled” to 5 being “Not skilled at all.” Consult the list below for improvement tips in the roles where you scored the lowest.

Tips for Improvement

1. **Figurehead:** If you struggle wearing this hat, start with cultivating humility and empathy. Focus on using your energy to be a good role model and become more aware of your image and reputation and how you can consistently display model behavior.





2. **Leader:** Anyone can be a leader, but not everyone can be an authentic leader who is respected by his or her team. The most important skill here to develop to improve is emotional intelligence.
3. **Liaison:** Not everyone is comfortable being a networking ham, but it's part of the job. You can start by attending small networking events and work your way out.
4. **Monitor:** The challenge of this aspect lies in its details. Become a better “skimmer” so you can scan through a lot of information and get to the big picture without experiencing information overload. It's also important in this area to keep up with industry news.
5. **Disseminator:** If you struggle in this area, work on improving your communication skills. Knowing not only what to share, but how and with whom. If you have difficulty expressing things properly, engage a colleague to help in the beginning with proofreading or being a second pair of eyes as you adjust in this role.
6. **Spokesperson:** This is an area where a lot of people feel challenged. Read blogs and research how to deliver great presentations and how to deal with the media. Speak with your company leaders to discuss how the company's brand or image should be represented in the community.





7. **Entrepreneur:** Work on problem solving and creativity skills or again, if this is not your strength, employ colleagues who excel here with brainstorming sessions or “crazy ideas” meetings. In addition, change management is a huge necessity in this area.
8. **Disturbance Handler:** You can read up on how to handle team conflict to improve your conflict resolution skills, but it may also be helpful to constructively coach team members who have a habit of bringing emotion into the office.
9. **Resource Allocator:** To wear this hat, prioritization is key. Take advantage of online tools and systems for this as well as budgeting tips.
10. **Negotiator:** Read about Distributive Bargaining or Win-Win Negotiations to beef up your skills. Role playing can also be an important tool here to strengthen your ability to negotiate

